

Equity Research Engine

Oscar Schjelderup

Bouvet – Compounding consultants

Initiation of coverage – BUY, target price NOK 78.50

21.09.2026

Analyst

Presenting a model-driven investment case on Bouvet ASA.



OS

University: Copenhagen Business School

Year of study: 2nd year

Experience: HA Invest member

Oscar Schjelderup

Company overview

Bouvet ASA – IT consulting & digital services in Norway and Sweden

8.2% revenue CAGR, 13.4% EBITDA margin and a net cash balance sheet — market cap NOK 4.8bn

Company snapshot1

Sector: IT consulting & digital services
Footprint: Norway and Sweden
Business model: Time-and-material consulting, mainly public sector and energy clients
Scale: Employees: 2,403 | Revenue 2025A: NOK 3,912m
Market cap: NOK 4,847m | EV NOK 4,267m
Share price: NOK 47.35 | 52w range 42.1–67.8

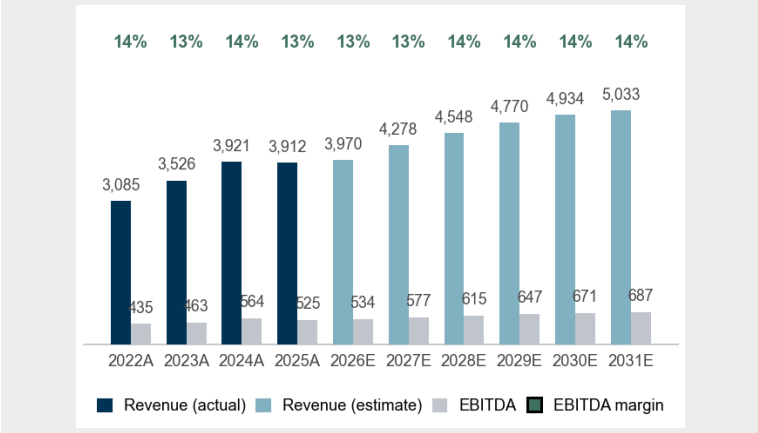
Investment highlights2

- **Consistent growth:** revenue compounded at 8.2% p.a. over 2022–2025, reaching NOK 3,912m
- **Margin profile:** pre-IFRS 16 EBITDA margin of 13.4% in 2025A (down from 14.1% in 2022A), EBIT margin 12.4%
- **Cash generative:** unlevered FCF of NOK 276m in 2025A, 53% of EBITDA, ROIC 87%
- **Balance sheet:** net cash of NOK 580m, no financial leverage

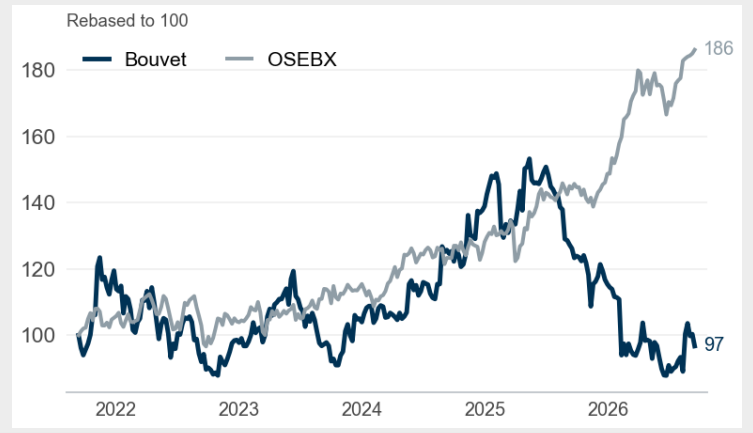
Management team3

- PG** **Per Gunnar Tronsli**
President & CEO
- SG** **Steffen Garder**
CFO
- LS** **Lisbeth Sneve Viker**
Chief accounting officer
- SS** **Simen Sommerfeldt**
CTO

Revenue and EBITDA (NOKm)4



Share price vs OSEBX (5 years)5



Key ratios6

	2023A	2024A	2025A	2026E	2027E
Revenue growth	14.3%	11.2%	-0.2%	1.5%	7.8%
EBITDA margin	13.1%	14.4%	13.4%	13.5%	13.5%
EBIT margin	11.9%	12.8%	12.4%	12.2%	12.2%
FCF margin	11.0%	19.0%	7.1%	9.9%	10.3%
ROIC	72.1%	84.1%	86.5%	—	—
Net debt / EBITDA	net cash	net cash	net cash	—	—
Payout ratio	97%	97%	106%	—	—

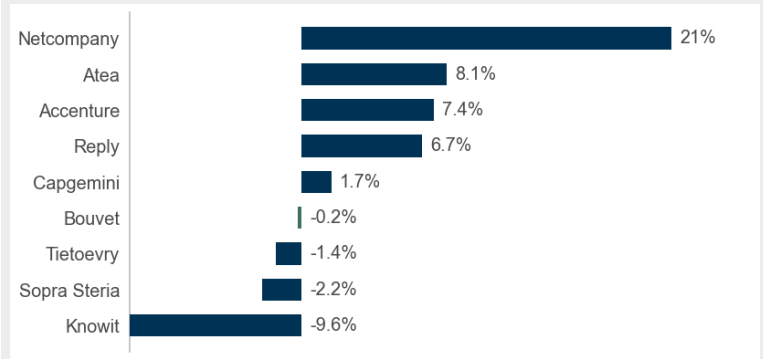
Sources: Company reports, Yahoo Finance, Equity Research Engine estimates
For illustration only — not investment advice

Market overview

Bouvet versus its peer group: growth, profitability and the drivers behind the case

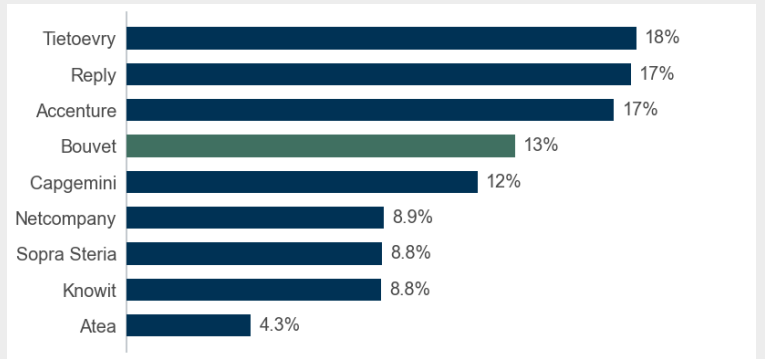
Revenue growth vs peers (last fiscal year)

1



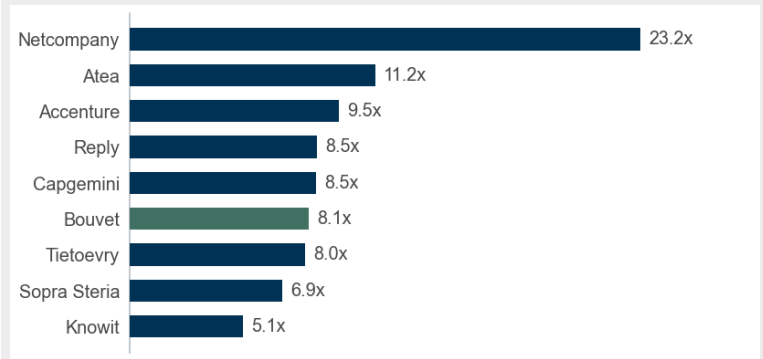
EBITDA margin vs peers (lease-adjusted)

2



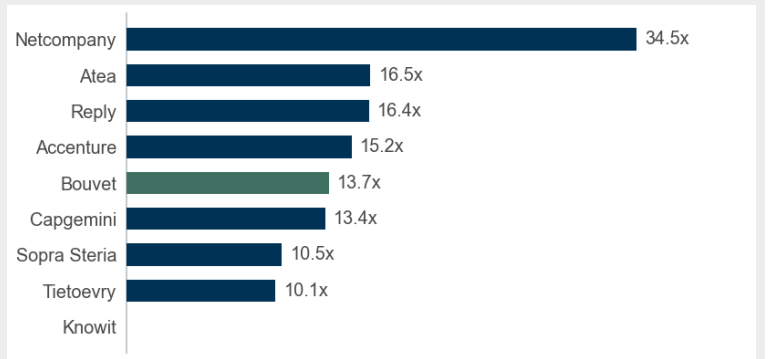
EV/EBITDA vs peers

3



P/E vs peers (trailing)

4



Opportunities

- **Public-sector digitalisation** in Norway keeps demand for senior consultants high
- **Energy transition** clients (grid, oil & gas, renewables) grow their IT budgets

Disruption

- **Generative AI** raises consultant productivity but pressures billable hours

Threats

- **Wage inflation** outpacing price increases would compress margins
- **Public-sector budget cuts** could reduce framework-agreement volumes

Financials and estimates

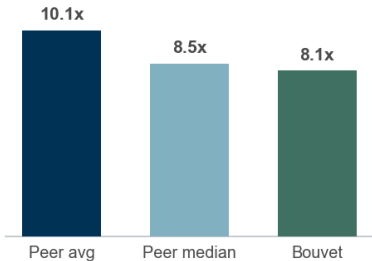
Bouvet financials, pre-IFRS 16 basis (NOKm)

	HISTORICAL				FORECAST						
NOKm	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	TV
Revenue	3,085	3,526	3,921	3,912	3,970	4,278	4,548	4,770	4,934	5,033	5,134
Growth	–	14.3%	11.2%	-0.2%	1.5%	7.8%	6.3%	4.9%	3.4%	2.0%	2.0%
EBITDA	435	463	564	525	534	577	615	647	671	687	700
Margin	14.1%	13.1%	14.4%	13.4%	13.5%	13.5%	13.5%	13.6%	13.6%	13.6%	13.6%
EBIT	402	420	501	483	483	522	556	585	607	621	634
Margin	13.0%	11.9%	12.8%	12.4%	12.2%	12.2%	12.2%	12.3%	12.3%	12.3%	12.3%
NOPAT	317	327	391	367	376	407	434	457	474	485	494
Margin	10.3%	9.3%	10.0%	9.4%	9.5%	9.5%	9.5%	9.6%	9.6%	9.6%	9.6%
Unlevered FCF	203	387	745	276	391	440	465	485	499	505	516
FCF margin	6.6%	11.0%	19.0%	7.1%	9.9%	10.3%	10.2%	10.2%	10.1%	10.0%	10.0%
Multiples (at current price)	2025A	2026E	2027E	2028E	Consensus (2 analysts) Target: NOK 50.00 (range 50–50) Ratings: 0 buy / 2 hold / 0 sell Engine: BUY, TP NOK 78.50 (+66%)						
EV/Sales	1.1x	1.1x	1.0x	0.9x							
EV/EBITDA	8.1x	8.0x	7.4x	6.9x							
EV/EBIT	8.8x	8.8x	8.2x	7.7x							
P/E	13.7x	13.2x	12.2x	11.4x							
FCF yield	5.7%	8.1%	9.1%	9.6%							

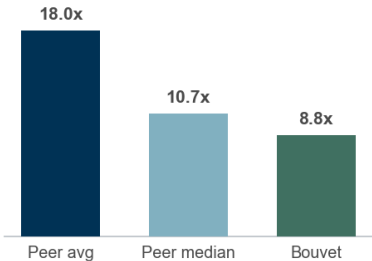
Financial commentary

- **Bouvet grew revenue by -0.2% in 2025A** to NOK 3,912m, with pre-IFRS 16 EBITDA of NOK 525m (13.4% margin)
- **We forecast 2026E revenue of NOK 3,970m (+1.5%)**, anchored on consensus (2 analysts), fading to 2.0% terminal growth by 2031E
- **EBITDA margin path:** 13.5% in 2026E to 13.6% in 2031E; D&A 1.3% and capex 1.0% of revenue; tax rate 22%
- **Unlevered FCF** rises from NOK 391m to NOK 505m over the forecast period (10.0% FCF margin in 2031E)
- **Valuation vs peers:** Bouvet trades at 8.1x LTM EV/EBITDA versus a peer median of 8.5x (-4%) and 13.7x P/E versus 15.2x
- **Street view:** consensus target of NOK 50.00 across 2 analysts (+6% vs current price)

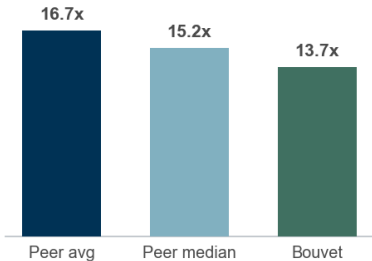
EV/EBITDA (LTM)



EV/EBIT (LTM)



P/E (LTM)



Sources: Company reports, Yahoo Finance, Equity Research Engine estimates; peer multiples on last reported fiscal year
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Valuation and recommendation

We recommend a BUY. Our 12-month target price of NOK 78.50 implies +66% upside and a +74% total return including dividend; 8.0x 2026E EV/EBITDA.

DCF fair value NOK 75.76, peer multiples NOK 52.13, scenario-weighted NOK 77.79 versus a share price of NOK 47.35 — BUY

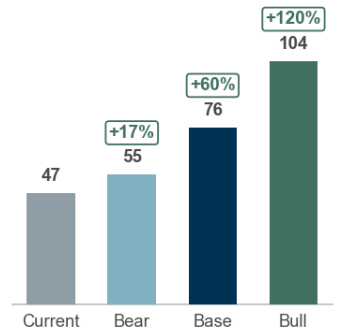
BUY – 12m TP NOK 78.50 · low agreement

- **DCF value of NOK 75.76 per share** (WACC 8.3%, terminal growth 2.0%); terminal value is 71% of EV, implying 11.9x exit EV/EBITDA
- **Peer multiples imply NOK 52.13 per share** (median of EV/EBITDA, EV/EBIT and P/E-based values)
- **Scenarios:** bear NOK 55 / base NOK 76 / bull NOK 104; probability-weighted NOK 77.79
- **12-month target price NOK 78.50:** fair value NOK 75.76 rolled forward at the 8.3% cost of equity less NOK 3.71 dividend; expected total return +74%, rating BUY

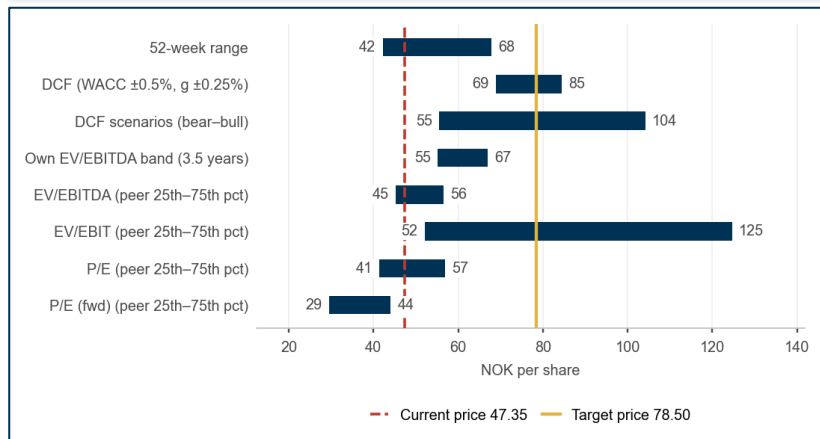
DCF valuation – Sensitivity analysis (value per share)

Terminal growth \ WACC	6.80%	7.30%	7.80%	8.30%	8.80%	9.30%	9.80%
1.25%	87.9	81.0	75.2	70.2	65.8	62.0	58.6
1.50%	90.9	83.5	77.2	71.9	67.3	63.3	59.7
1.75%	94.3	86.2	79.5	73.8	68.9	64.6	60.9
2.00%	97.9	89.1	81.9	75.8	70.5	66.1	62.1
2.25%	102.0	92.4	84.5	77.9	72.4	67.6	63.4
2.50%	106.5	96.0	87.4	80.3	74.3	69.2	64.8
2.75%	111.6	99.9	90.6	82.9	76.5	71.0	66.3

DCF scenarios

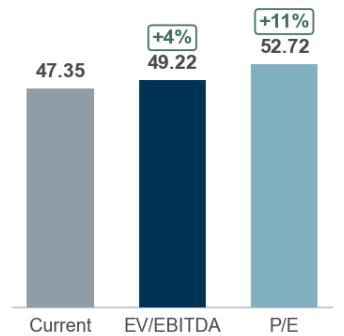


Valuation summary – Football field



Multiple valuation and what the price implies

- **Trading at a discount:** 8.1x EV/EBITDA vs 8.5x peer median (4% discount)
- **Earnings multiple:** 13.7x trailing P/E vs 15.2x for peers (-10%)
- **Versus own history:** 8.3x trailing EV/EBITDA is below the 3.5-year median of 11.3x (11% of weeks were cheaper)
- **EV/EBITDA-implied value:** NOK 49.22 at the peer median of 8.5x (range 45–56 across the 25th–75th percentile)
- **Market-implied WACC 12.5%**, above our 8.3%: the price discounts our cash flows at 422bp more than we do
- **Market-implied margin:** at our WACC the price is consistent with a 2031E EBITDA margin of 8.4% versus 13.6% in our base case
- **Cross-check – low agreement:** the DCF is 45% above the peer-multiple value (NOK 52.13) and our target is 57% above the consensus of 2 analysts (NOK 50.00); the recommendation rests on the DCF assumptions alone — treat the target as a hypothesis, not a result



Cost of capital and DCF build-up

WACC 8.30% and terminal growth 2.00% give a fair value of NOK 75.76 per share

WACC build-up

1

Component	Value
Risk-free rate	3.80%
Beta (raw)	0.35
Beta (adjusted, used)	0.60
Equity risk premium	5.00%
Size premium	1.50%
Cost of equity	8.30%
Cost of debt (pre-tax)	5.80%
Tax rate	22.0%
Cost of debt (after tax)	4.52%
Weight of equity	100.0%
Weight of debt	0.0%
WACC	8.30%

Beta: Yahoo Finance (5y monthly); regression vs OSEBX rejected ($R^2=0.01 < 0.10$), Blume-adjusted.
Size premium 1.50% (market cap USD 0.5bn).
Cost of debt: risk-free + 200bp.

DCF build-up (NOKm)

2

	2026E	2027E	2028E	2029E	2030E	2031E
Unlevered FCF	391	440	465	485	499	505
Discount factor	0.923	0.853	0.787	0.727	0.671	0.620
PV of FCF	361	375	366	353	335	313
Bridge to value per share						NOKm
Sum of PV of FCF						2,104
Terminal value (Gordon growth)						8,183
PV of terminal value						5,072
Enterprise value						7,175
Less: net debt						580
Less: minority interest						0
Equity value						7,755
Shares outstanding (m)						102.4
Fair value per share (NOK)						75.76
x (1 + cost of equity 8.30%)						82.05
Less: expected dividend per share						(3.71)
12-month target price (NOK, rounded)						78.50

What the share price implies

3

- **Implied WACC:** 12.52% vs our 8.30%
- **Implied terminal growth:** -5.40% vs our 2.00%
- **Implied 2031E EBITDA margin:** 8.4% vs our 13.6%
- Each figure solves for the one input that makes the DCF equal today's price, holding the others at the base case

Key checks

4

- **Terminal value** is 71% of enterprise value
- **Implied exit multiple:** 11.9x EV/EBITDA vs 8.1x today
- **WACC – g spread:** 6.30%
- **Net debt / EBITDA:** net cash

Scenario analysis

Probability-weighted value of NOK 77.79 per share versus a share price of NOK 47.35

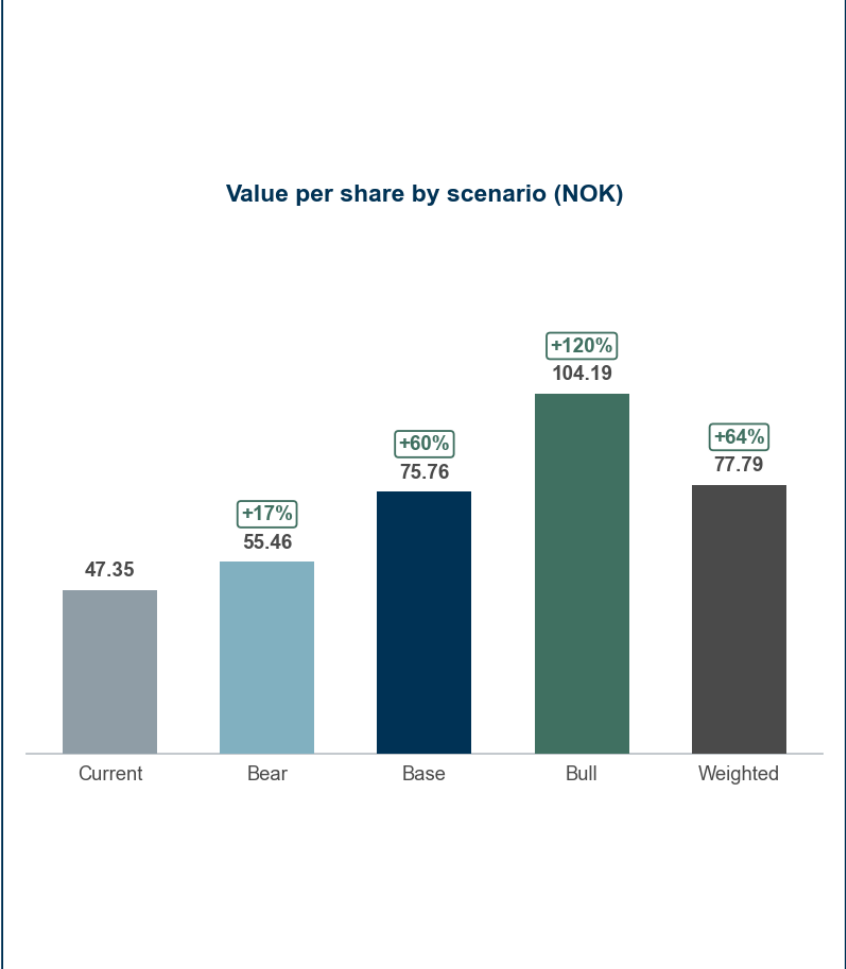
Scenario table1

Scenario	Probability	Growth shift	Margin shift	WACC	Terminal g	Revenue CAGR	2031E margin	Value (NOK)	vs price
Bear	25%	-2.0%	-1.5%	8.80%	1.75%	2.3%	12.1%	55.46	+17%
Base	50%	+0.0%	+0.0%	8.30%	2.00%	4.3%	13.6%	75.76	+60%
Bull	25%	+2.0%	+1.5%	7.80%	2.25%	6.3%	15.1%	104.19	+120%
Probability-weighted	100%							77.79	+64%

What drives each case2

- **Bear (25%):** Growth 2pp lower, margin 1.5pp lower, WACC +50bp; revenue CAGR 2.3%, 2031E margin 12.1%, WACC 8.8% gives NOK 55.46 (+17% vs price)
- **Base (50%):** Base-case drivers; revenue CAGR 4.3%, 2031E margin 13.6%, WACC 8.3% gives NOK 75.76 (+60% vs price)
- **Bull (25%):** Growth 2pp higher, margin 1.5pp higher, WACC -50bp; revenue CAGR 6.3%, 2031E margin 15.1%, WACC 7.8% gives NOK 104.19 (+120% vs price)
- Shifts are additive to the base case: growth applies to every forecast year, the margin shift to the whole EBITDA margin path; capex and working capital follow revenue as in the base case

Value per share by scenario3



Peer group detail

Multiples on the last reported fiscal year, enterprise value on the same lease basis as the target company

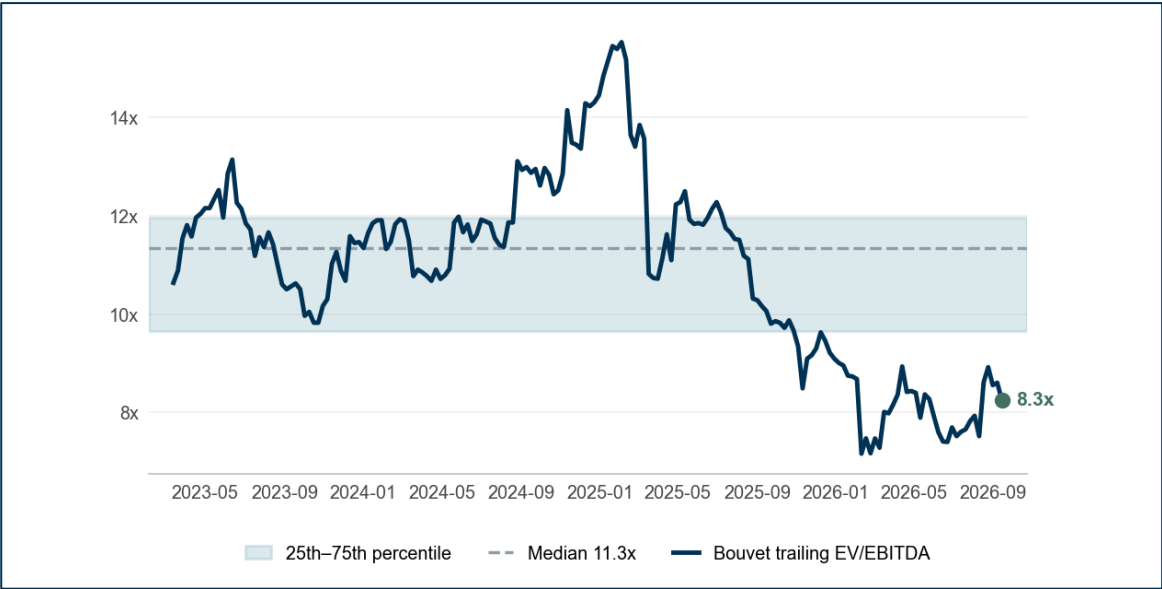
Company	Group	Mkt cap (NOKm)	EV (NOKm)	Rev. growth	EBITDA margin	EV/Sales	EV/EBITDA	EV/EBIT	P/E	P/E (fwd)
Knowit	Nordic IT services	2,497	2,501	-9.6%	8.8%	0.5x	5.1x	—	—	9.3x
Tietoevry	Nordic IT services	22,628	28,051	-1.4%	17.6%	1.4x	8.0x	37.2x	10.1x	11.4x
Netcompany	Nordic IT services	20,082	23,435	20.7%	8.9%	2.1x	23.2x	36.1x	34.5x	13.3x
Atea	Nordic IT services	18,898	17,896	8.1%	4.3%	0.5x	11.2x	14.3x	16.5x	14.6x
Sopra Steria	European IT services	34,043	37,341	-2.2%	8.8%	0.6x	6.9x	8.1x	10.5x	8.1x
Capgemini	European IT services	189,192	249,041	1.7%	12.1%	1.0x	8.5x	9.9x	13.4x	7.7x
Reply	European IT services	44,793	39,143	6.7%	17.4%	1.5x	8.5x	9.7x	16.4x	13.7x
Accenture	Global IT services	1,090,733	1,041,316	7.4%	16.8%	1.6x	9.5x	10.7x	15.2x	13.0x
Peer median				4.2%	10.5%	1.2x	8.5x	10.7x	15.2x	12.2x
Peer average				3.9%	11.8%	1.1x	10.1x	18.0x	16.7x	11.4x
25th percentile				-1.6%	8.8%	0.6x	7.7x	9.8x	12.0x	9.0x
75th percentile				7.5%	17.0%	1.5x	9.9x	25.2x	16.4x	13.4x
Bouvet	Target	4,847	4,267	-0.2%	13.4%	1.1x	8.1x	8.8x	13.7x	14.4x

Valuation through time

Bouvet trades at 8.3x trailing EV/EBITDA against a 3.5-year median of 11.3x

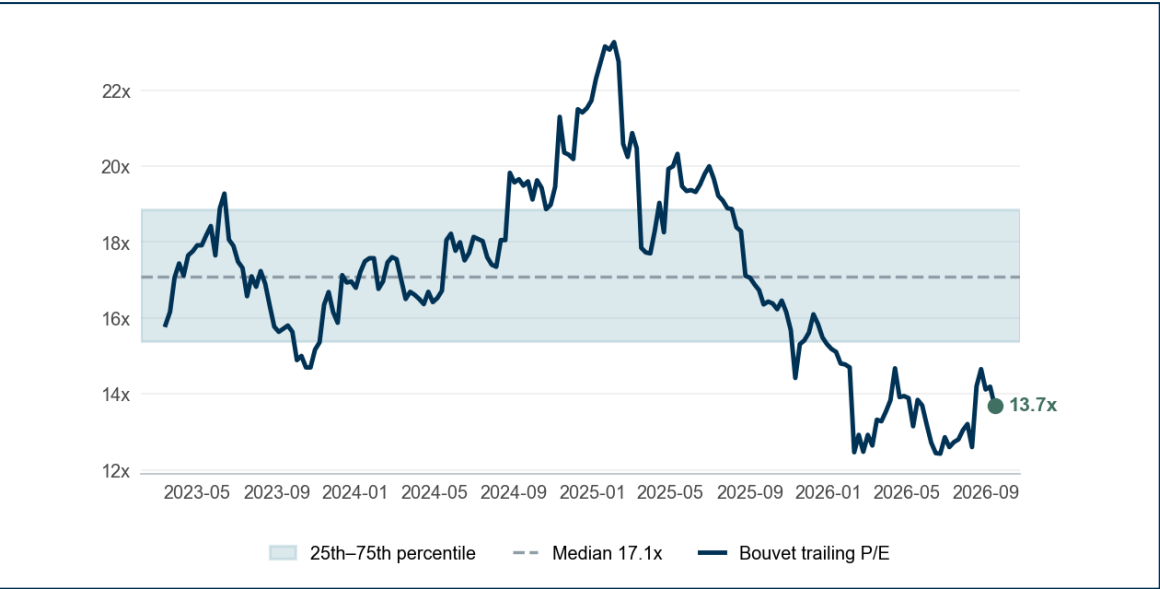
Trailing EV/EBITDA

1



Trailing P/E

2



Reading the bands

3

- **EV/EBITDA:** 8.3x today vs a median of 11.3x and an interquartile band of 9.7x–12.0x; 11% of weeks were cheaper. At its own median the share is worth NOK 63.79 (+35% vs price)
- **P/E:** 13.7x today vs a median of 17.1x and an interquartile band of 15.4x–18.9x; 11% of weeks were cheaper. At its own median the share is worth NOK 59.10 (+25% vs price)
- **Cross-check – low agreement between the anchors:** the DCF is 45% above the peer-multiple value (NOK 52.13) and our target is 57% above the consensus of 2 analysts (NOK 50.00); the recommendation rests on the DCF assumptions alone — treat the target as a hypothesis, not a result
- Each weekly close is paired with the latest fiscal year that was public at the time (75-day reporting lag), on the same lease basis as the model; net debt and the share count step once a year